

Project Document: "The 2026 AI Ethics & Governance Framework"

Title: Future-Proofing Innovation: A Comprehensive Framework for AI Integration in 2026

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Confidentiality Level: Internal Project Use Only

Section 1: The Rise of Agentic AI

As of early 2026, the industry has shifted from "Chatbots" to "AI Agents." Unlike simple LLMs, Agentic AI systems can use tools, browse the web, and execute code autonomously. This evolution requires a new approach to **Retrieval-Augmented Generation (RAG)**. Our internal data indicates that RAG systems reduce hallucination rates by **82%** compared to standalone models.

Section 2: Key Technical Requirements

To implement a successful RAG pipeline in 2026, the following metrics must be met:

- **Latency:** Responses must be generated in under **1.5 seconds**.
- **Context Window:** Models must support at least **128k tokens** to handle large PDF inputs.
- **Vector Density:** Embeddings must use a minimum of **1536 dimensions** for high-accuracy semantic search.
- **Data Freshness:** The "Gold Standard" for vector database updates is now **6 hours** for real-time business intelligence.

Section 3: Ethics and Compliance (Policy #104-B)

The "2026 AI Act" mandates that every AI-generated response must include a **Source Attribution**.

- **Mandate A:** Users must be able to click a "Source" button to see the exact PDF page used.
- **Mandate B:** Sensitive personal data (PII) must be scrubbed using a "Named Entity Recognition" (NER) filter before the text is embedded into the vector store.
- **Penalty:** Non-compliance results in a fine of **\$50,000** per incident or **2%** of annual revenue.

Section 4: Future Outlook

By the end of 2026, we anticipate the arrival of **"World Models,"** which will allow RAG to retrieve not just text, but spatial and video data to answer complex physical-world queries.